



Fixed Assets: Depreciation and Adjustments

SAP Business One
Version 10.0

PUBLIC

THE BEST RUN 

Welcome to the Depreciation and Adjustments topic.

Objectives



At the end of this course, you will be able to:

- Generate documents to reflect the fixed asset value.

Note!

- You need to make decisions about legal and industry requirements together with the client accountant.

At the end of this course, you will be able to generate documents to reflect the fixed asset value.

Note!

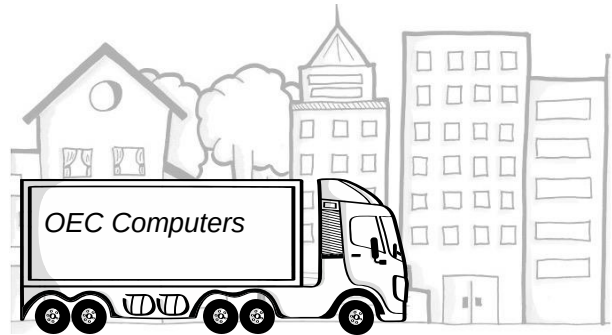
You need to make decisions about legal and industry requirements together with the client accountant.

Business Example



- *OEC Computers* utilizes a small fleet of delivery trucks.
- After purchasing the trucks, they defined them as fixed assets in SAP Business One.
 - In order to present the updated trucks' value in the company financial reports, they need to document the transactions affecting the vehicles' value during their useful life.
 - Use the depreciation option to write off the cost of an asset over its useful lifetime.

For adjustments - utilize additional fixed assets documents: *Transfer*, *Manual Depreciation*, and *Asset Revaluation*



- *OEC Computers* utilizes a small fleet of delivery trucks.
- After purchasing the trucks, they defined them as fixed assets in SAP Business One.
- In order to present the updated trucks' value in the company financial reports, they need to document the transactions affecting the vehicles' value during their useful life.
- You are a consultant implementing fixed assets and you show them the Fixed Assets functionality and working process in SAP Business One.
- Use the **depreciation** option to write off the cost of an asset over its useful lifetime.
- For **adjustments** - utilize additional fixed assets documents: *Transfer*, *Manual Depreciation*, and *Asset Revaluation*.

Depreciation Type

Depreciation



Asset
Class

Depreciation
Type

Method:
Straight Line

Depreciation value per year:

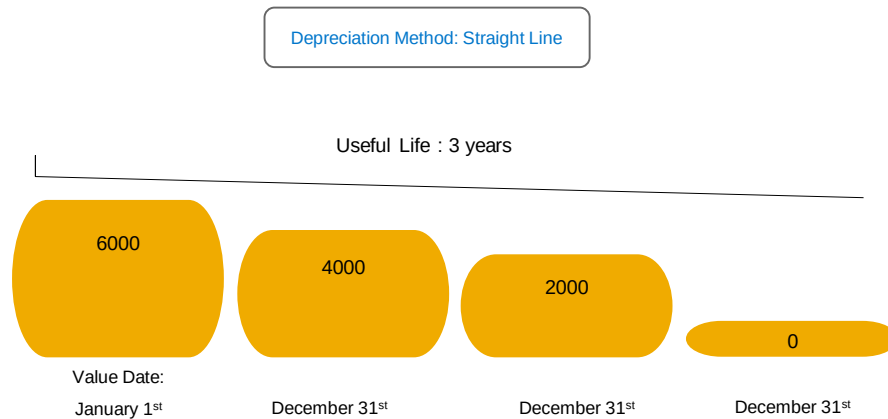
$6000 / 36$ months of useful life = **166.67** per month.
 $12 \text{ Months} * 166.67 = 2000$ yearly depreciation.

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- **Depreciation** is used to write off the cost of an asset over its useful lifetime.
- It represents the reduction in the book value of an asset for both tax and accounting purposes.
- SAP Business One allows you to set up depreciation types using several pre-defined depreciation methods.
- The depreciation method sets the depreciation value calculation.
- In our example we choose the *Straight Line* method which is the most common method and attached it to the **Motor Vehicles** asset class.
- In the *Calculation Method* field, under the *Calculation* tab, we choose the first option *Acquisition Value / Total Useful Life*.
- So, if we look at our **truck**, its acquisition value was **6000** and the useful life defined for the asset class is **3** years, that is **36** months.
- The calculated depreciation value for **one year** will be **2000** according to the following calculation:
 - The monthly rate will be $6000 / 36$ months of useful life = **166.67**
 - And then the yearly depreciation is calculated: $12 \text{ Months} * 166.67 = 2000$.

Fixed Assets Depreciation - Asset Net Book Value

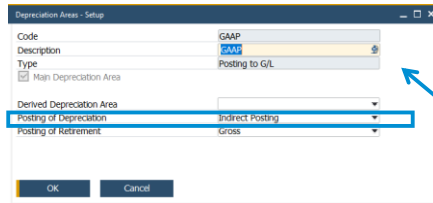


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- In our example when we define the new **truck** that OEC Computers purchased, we define the asset **Useful Life** - a period during which an asset is expected to be usable for the purpose for which it was acquired. Useful life may, or may not, correspond with the asset's actual physical life, or economic life. Before the end of an asset's useful life, the asset should be written off completely. We define the truck useful life as **3** years.
- Every period the company calculates the depreciation on the asset. Depreciation would be included with the company expenses.
- As was mentioned in the previous slide, the truck is planned to reduce its value by **2000** each year.
- During the asset's useful life the system also calculates the asset *Net Book Value* - the value of an asset in the accounting books which is calculated using the historical cost of the asset less any accumulated depreciation. So in our case, after the first year the truck value will be **4000**, then after the second year **2000** and until **0** value at the end of its useful life.
- The asset *Net Book Value* calculation appear in the *Asset Master Data*.

Depreciation Run – Depreciation Area




Asset
Class

Depreciation
Area

- Remember, that the accounts and the amounts in the depreciation process derive from the *Asset Master Data* definition.
- In the **truck** example the defined asset class is attached to the **GAAP** area as the main area and posting to G/L.
- If the type of depreciation area is posting to G/L, in addition to posting the depreciation for each asset, there is financial posting.
- In the *Posting of Depreciation* field, if we define the *Direct Posting*, the system will post the depreciation directly to the asset balance sheet account specified for the asset.
- In *Indirect Posting*, the system uses the accumulated depreciation account to post the depreciation.
- In this option, the asset balance sheet account is affected only when the asset is purchased or retired.

Fixed Asset Transactions

Fixed Asset Transactions

#	Period	Planned Depreciation	Posted Depreciation	Automatic Depreciation	Manual Depreciation
1	1	GBP 120.00	GBP 0.00	GBP 0.00	GBP 0.00
2	2	GBP 120.00	GBP 0.00	GBP 0.00	GBP 0.00
3	3	GBP 120.00	GBP 0.00	GBP 0.00	GBP 0.00
4	4	GBP 120.00	GBP 0.00	GBP 0.00	GBP 0.00
5	5	GBP 120.00	GBP 0.00	GBP 0.00	GBP 0.00
6	6	GBP 120.00	GBP 0.00	GBP 0.00	GBP 0.00
7	7	GBP 120.00	GBP 0.00	GBP 0.00	GBP 0.00
8	8	GBP 120.00	GBP 0.00	GBP 0.00	GBP 0.00
9	9	GBP 120.00	GBP 0.00	GBP 0.00	GBP 0.00
10	10	GBP 120.00	GBP 0.00	GBP 0.00	GBP 0.00
11	11	GBP 120.00	GBP 0.00	GBP 0.00	GBP 0.00
12	12	GBP 120.00	GBP 0.00	GBP 0.00	GBP 0.00

Fixed Asset Sub Ledger

#	Period	Planned Depreciation	Posted Depreciation	Automatic Depreciation	Manual Depreciation
1	1	GBP 150.00	GBP 0.00	GBP 0.00	GBP 0.00
2	2	GBP 150.00	GBP 0.00	GBP 0.00	GBP 0.00
3	3	GBP 150.00	GBP 0.00	GBP 0.00	GBP 0.00
4	4	GBP 150.00	GBP 0.00	GBP 0.00	GBP 0.00
5	5	GBP 150.00	GBP 0.00	GBP 0.00	GBP 0.00
6	6	GBP 150.00	GBP 0.00	GBP 0.00	GBP 0.00
7	7	GBP 150.00	GBP 0.00	GBP 0.00	GBP 0.00
8	8	GBP 150.00	GBP 0.00	GBP 0.00	GBP 0.00
9	9	GBP 150.00	GBP 0.00	GBP 0.00	GBP 0.00
10	10	GBP 150.00	GBP 0.00	GBP 0.00	GBP 0.00
11	11	GBP 150.00	GBP 0.00	GBP 0.00	GBP 0.00
12	12	GBP 1,600.00	GBP 0.00	GBP 0.00	GBP 0.00

Let us talk a bit more about the connection between the depreciation area and the transactions that the asset registers.

- The *Asset Master Data* cannot be defined as an *Inventory Item*.
- Therefore, it does not register inventory transactions.
- The system does register fixed asset transactions.
- Depending on the asset class attached to the fixed asset, one or more areas are defined for the asset master data record.
- In the presented example, two depreciation areas are defined for the **truck** asset master data. These are the two depreciation areas that OEC Computers defined in their system
 - The **GAAP** areas (that is, Local **G**enerally **A**ccepted **A**ccounting **P**riniples), is the main depreciation area and defined as *Posting to G/L* – meaning, it posts financial transactions to the fixed assets sub-ledger in addition to fixed asset transactions.
 - The **IFRS** (that is **I**nternational **F**inancial **R**eporting **S**tandards) is the additional area and hence will **not** post financial transactions to the general ledger.
- Although the additional area does not register transactions to the general ledger it will affect the values in the asset master data and in different reports.
- In the presented example you can see that depreciation amounts were posted according to both the **GAAP** and the **IFRS** areas.
- The **GAAP** area also registered journal entries to the accounts assigned to the asset master data.
- The **IFRS** area posted depreciation transaction with no effect on accounts.
- This information is stored in the asset master data allowing the user to analyze both dimensions.

Depreciation Run

Financials → Fixed Assets → Depreciation Run

Depreciation Run

Depreciation Area: GAAP

Depreciate To: 31.08.20

Previous Depreciation Runs

#	Run	Status	Depreciation Area	Depreciate To	Posting Date	Depreciation	Remarks
1	1	Depreciation Posted	GAAP	30.0	14.0	GBP 145.00	
2	2	Depreciation Posted	GAAP	30.0	30.0	GBP -43.00	

Preview Cancel

- Execute the **Depreciation Run** option to update the value with the actual depreciation.
- Choose **Financials → Fixed Assets → Depreciation Run**.
- You execute the **Depreciation Run** for each **Depreciation Area**. In the presented example we execute the depreciation run for the main depreciation area, that is, the **GAAP** area.
- Every time you run the **Depreciation Run** you can see the previous runs.
- To execute a new run, choose the **Preview** button.

Depreciation Run – Preview

Depreciation Run - Preview

Depreciation Area: GAAP Status:

Depreciate To: 31.08

Posting Date: 31.08

Remarks:

☐ Consolidate Journal Entry Rows by Projects

☐ Consolidate Journal Entry Rows by Distribution Rules

#	Asset Class	Journal ...	Cancellation Jour...	Asset No.	Asset Descri...	Ordinary Depr...	Special Depreciation
	Heavy					GBP 80.00	GBP 0.00
	Heavy					GBP 84.00	GBP 0.00
	LV ass					GBP 162.40	GBP 0.00
	MV					GBP 40.00	GBP 0.00
					CAR000 Navigation Syst	GBP 4.00	GBP 0.00
					CAR000 Navigation Syst	GBP 4.00	GBP 0.00
					CAR000 Navigation Syst	GBP 4.00	GBP 0.00
					CAR000 Navigation Syst	GBP 4.00	GBP 0.00
					CAR000 Navigation Syst	GBP 4.00	GBP 0.00
						GBP 366.40	

Execute Cancel Expand Collapse

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- In the *Depreciation Run - Preview* window, the financial postings are grouped by the asset class.
- Only when you execute the depreciation run does the system carry out all depreciations planned up to the specified date.
- In order to trigger the posting of a planned depreciation it is usually sufficient to start one depreciation run for several posting periods.
- However, it is possible to execute several depreciation runs for the same depreciation period.
- In depreciation runs, un-posted planned depreciation is posted using a catch-up method.
- In the catch-up method, the system gathers any planned depreciation that has not been posted yet for the entire depreciation period and then creates a collective posting. Therefore, the resulting posting can also include planned depreciation from several periods.
- Note!
 - If you want to include in the current year the depreciation posting from previous fiscal years, you need to first run the *Fiscal Year Change*. This action will carry over the values from previous years to the current fiscal year. We will refer to the *Fiscal Year Change* later on in this course.
 - A depreciation run can be repeated as often as necessary, provided no depreciation run has been executed for **later periods**. That is, the current depreciation run cannot be earlier than any runs which had been already executed for a selected depreciation area.
- A repeat depreciation run may be necessary, if the asset values have changed once again after posting planned depreciation. When repeating a depreciation run, only the value differences to the postings of the last depreciation run are considered.
- To register the depreciation amounts to the general ledger choose the *Execute* button.

Depreciation Run – Journal Entries

Depreciation Run - Results

Depreciation Area: GAAP Status: Depreciation Posted

Depreciate To: 31.08.20

Posting Date: 01.08.20

Remarks:

☐ Consolidate Journal Entry Rows by Projects

☐ Consolidate Journal Entry Rows by Distribution Rules

#	Asset Class	Journal Entry	Cancellation Jour...	Asset No.	Asset Descr...	Ordinary Depr...	Special Depreciation
1	Heavy Vehicles	6610			Transit Van	GBP 80.00	GBP 0.00
2	Heavy Vehicles	6611			Transit Van	GBP 80.00	GBP 0.00
3	Heavy Vehicles	6612			Transit Van	GBP 84.00	GBP 0.00
4	LV assets	6613			Transit Van	GBP 84.00	GBP 0.00
5	MV	6613			Transit Van	GBP 84.00	GBP 0.00

Series: 6610 Posting Date: 01.08.20 Due Date: 01.08.20 Remarks: Depreciation Run - GAAP - Heavy Vehicles

Origin: 6610 Trans. No.: 6625 Template Type: Template Inclusion: Project

Trans. Code: Ref. 1 Ref. 2 Ref. 3

Barlet Agreement:

Contents: Attachments

GL Acct/Ref: GL Acct/Ref: Ref. 1 Ref. 2 Ref. 3 Offset Account

66100000 Ordinary Depreciation 3 1:14750

Debit (P) Credit (P) Debit (SC) Credit (SC)

Posting Date: 01.08.20 Due Date: 01.08.20 Doc. Date: 01.08.20 Project: Tax Group: Dist. Rule: Remarks: Depreciation Run - GAAP - Heavy Vehicles

Primary Form Item:

#	GL Acct/Ref	GL Acct/Ref	Debit	Credit	Federal Tax ID	Receipt Number	Tax Amount	Gross Value	Base Amount	Primary Form	Departments	Line of B...
1	66100000	Ordinary Depreciation	GBP 80.00									
2	1:14750	Accumulated Depreciation		GBP 80.00								

OK Cancel

Display in FC Display in SC Import from Discard Cancel Template

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- Here is an example of a journal entry created by the depreciation run.
- As was mentioned before, the financial postings are grouped by an asset class.
- The system will credit the balance sheet asset account (in the *Direct Posting* option) and debit the depreciation account.
- In *Indirect Posting*, the system uses the accumulated depreciation account in the credit side.
- In this option, the asset balance sheet account is affected only when the asset is purchased or retired.
- In the debit amount you can see that depreciation is included within the company expenses.
- The user can choose to split the asset balance sheet account by assets in the journal entry.
- You define the split in **Administration → System initialization → Document Settings → Per Document → Depreciation Run**. The default value is not split.

Depreciation Run - Status

Depreciation Run

Depreciation Area: GAAP
 Depreciate To: 31.08.

Depreciation Run - Preview

Depreciation Area: IFRS
 Depreciate To: 31.08.
 Posting Date: 31.08.
 Remarks:

☐ Consolidate Journal Entry Rows by Projects
☐ Consolidate Journal Entry Rows by Distribution Rules

#	Asset Class	Journal Entry	Cancellation Journal Entry	Asset No.	Asset Description	Ordinary Depreciation	Sp.
	Motor Vehicles						
				Small Truck	Small Truck 550	GBP 2,241.70	GBP 0.
				Van	Van 5523413	GBP 1,200.00	GBP 0.
						GBP 1,041.70	GBP 0.
						GBP 2,241.70	

Previous Depreciation Runs

#	Run	Status	Depreciation Area	Depreciate To	Posting Date	Depreciation	Remarks
1	1	No Depreciation Posted	Internal	30.	30.	GBP 1,000.00	
2	2	Depreciation Posted	GAAP	31.	31.	GBP 8,041.70	
3	3	No Depreciation Posted	IFRS	31.	31.	GBP 2,241.70	

Preview Cancel

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- In the **Motor Vehicles** asset class example we defined the **GAAP** area and the **IFRS** area with the GAAP area defined as the main area and posting to G/L.
- If the type of depreciation area is posting to G/L, besides posting the depreciation for each asset, there is a financial posting.
- The **IFRS** area, in our example was defined as the *Additional Area* and therefore does not post journal entries.
- Still, you can post depreciation amounts to this depreciation area to be used in reports.
- Therefore, in the third run you can see that for the **IFRS** area the status *No Depreciation Posted* appears.

Asset Accounts in the Company Balance Sheet

Direct Posting

Asset Balance Sheet Account	6000	Capitalization
	-2000	Depreciation
	4000	Net Book Value

D	Balance Sheet	C
Fixed Asset Account	4000	

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- Let us discuss the fixed asset effect on the company financial reports.
- The *Balance Sheet* of a company contains the asset accounts.
- As we have seen in this course, the *Capitalization* document debits the asset balance sheet account specified for the asset.
- When using the direct posting method, the *Depreciation* document credits the same asset balance sheet account.
- Therefore, the net book value of the asset is reflected in the account balance.

Asset Accounts in the Company Balance Sheet

Indirect Posting

Asset Balance Sheet Account	6000	Capitalization
Accumulated Depreciation Account	-2000	Depreciation
	4000	Net Book Value

D	Balance Sheet	C
Fixed Asset Account	6000	
Accumulated Depreciation Account	-2000	

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- In indirect posting, the system uses the accumulated depreciation account to post the depreciation.
- In this option, the asset balance sheet account is affected only when the asset is capitalized or retired.
- Therefore, the net book value of the asset will be reflected in the sub-total display of the *Balance Sheet*.

Adjustments and the Fiscal Year Change

Adjustments

- During the life cycle of a fixed asset, additional documents support the need for adjustments, if necessary:
 - *Transfer.*
 - *Manual Depreciation.*
 - *Asset Revaluation.*

- *Fiscal Year Change:*
 - In fixed asset management, you must execute a fiscal year change when a fiscal year ends.

- During the life cycle of a fixed asset, additional documents support the need for adjustments, if necessary. The documents are: *Transfer*, *Manual Depreciation*, and *Asset revaluation*.
- **Note! In order to decide which of the adjustment documents to use, you need to verify, together with the client accountant, what are the legal and industry requirements.**
- For all documents, go to **Financials → Fixed Assets**. In the next slides we review the different documents.
- The accounts required for the different adjustment documents are defined in *Account Determination* setup attached to the fixed asset chosen in the relevant document.
- In fixed asset management, you must execute a fiscal year change when a fiscal year ends. With the change, SAP Business One transfers all the asset depreciations and balances from the current fiscal year to the new fiscal year.

Transfer

You can transfer an asset or part of an asset to a different asset. This may be necessary when:

1. The value was activated to wrong *Asset Master Data* and you need to transfer it to the right one.
2. The asset was activated to the wrong *Asset Class* and depreciations have been already created.
3. The asset is on hold. For example, the asset is under constructions. When it is finished, it will be moved to the corrected asset class.

- We start with the **Transfer** document.
- You can transfer an asset or part of an asset to a different asset. This may be necessary when:
 1. The value was activated to wrong *Asset Master Data* and you need to transfer it to the right one.
 2. The asset was activated to the wrong *Asset Class* and depreciations have been already created.
 3. The asset is on hold. For example, the asset is under constructions. When it is finished, it will be moved to the corrected asset class.
- According to the different uses of the *Transfer* document, it includes two transactions types: *Asset Transfer* and *Asset Class Transfer*.
- Once you choose a transaction type, the table structure changes accordingly.

Manual Depreciation

In some cases you may want to manually depreciate certain assets:

- There is an unexpected permanent reduction in the value of the asset, for example caused by an accident.
- There are special depreciations that you want to use partially.
- You are using unit-of-production depreciation and want to manually plan depreciation.
- You can also appreciate the fixed asset value to reverse an unplanned depreciation.

Manual Depreciation

Origin: _____ Origin No.: _____ No.: _____ Primary: 1

Transaction Type: Ordinary Depreciation Status: Posted

Posting Date: 16.08

Depreciation Area: Unplanned Depreciation Document Date: 16.08

Reference: _____ Asset Value Date: 16.08

Special Depreciation: _____

Appreciation: _____

☒ Use Projects

☒ Use Distribution Rules

#	Asset No.	Asset Description	Total (LC)	Department	Line of Bu.	Work Loc.	Project	Remarks
1	Small Truck	Small Truck 550	GBP 1,200.00					
2								

Remarks: _____

Add Cancel

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- In a regular work, the system uses the saved depreciation types to automatically determine the planned depreciation for the current fiscal year.
- In some cases however, you may want to manually depreciate certain assets:
 1. There is an unexpected permanent reduction in the value of the asset, for example caused by an accident.
 2. There are special depreciations that you want to use partially.
 3. You are using unit-of-production depreciation and want to manually plan depreciation.
 4. You can also appreciate the fixed asset value to reverse an unplanned depreciation.
 - For example: the **Gas and Oil** corporation has built a new gas station with 10 filling dispenser close to a major city.
 - The revenue in the first 2 years was only 80% of the expected amount before starting the new business.
 - As the installation of 10 filling dispenser was overestimated and 8 would have been enough, a special depreciation can be done to reflect the real value of the gas station at the end of the second year.
 - In the third year a new by-pass road was opened close to the gas station and the revenue suddenly increased to the original expected amount. The reason for the special depreciation is no longer valid and an appreciation needs to be done.
- According to the different uses of the *Manual Depreciation* document, it includes four document types: *Ordinary Depreciation*, *Unplanned Depreciation*, *Appreciation* and *Special Depreciation*
- The default value is *Ordinary Depreciation*.

Asset Revaluation

With the *Asset Revaluation* option you can write an increase or decrease in the **book value** of an asset in order to reflect its current fair market value.

#	Asset No.	Asset Description	NBV	Revaluation Percentage %	New NBV	Difference	Remarks
1	Transit Van	Transit Van	GBP 11,920.00	120.00	GBP 14,304.00	GBP 2,384.00	
2				0.00			

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- With the *Asset Revaluation* option you can write an increase or decrease in the **book value** of an asset in order to reflect its current fair market value.
- Fair value accounting requires that revaluations are carried out whenever there is a difference between the current market value of an asset and the value on the balance sheet.
- The revaluation is based on one depreciation area. Once the user chooses a different depreciation area, the table is cleared.
- Note!
 - You need to verify, together with the client accountant if this document is allowed in your localization.
 - The difference will increase the asset value but will be also posted against the revaluation reverse account.

Fiscal Year Change



- SAP Business One transfers all the **asset depreciations and balances** from the **current fiscal year** to the **new fiscal year**.
- Go to **Financials** → **Fixed Assets** → **Fiscal Year Change**.

- In fixed asset management, you must execute a fiscal year change when a fiscal year ends. With the change, SAP Business One transfers all the asset depreciations and balances from the current fiscal year to the new fiscal year.
- Go to **Financials** → **Fixed Assets** → **Fiscal Year Change**.
- When you change a fiscal year, SAP Business One performs the following calculations for each asset:
 - Calculates the year-end values of all asset transactions. These values are saved in the asset master data and serve as start values for the new fiscal year.
 - Recalculates the planned depreciation for the new fiscal year.
- Note! If the next fiscal year, to which you want to change, is not yet defined in SAP Business One, you receive an error message.

Summary



Here are some key points to take away:

- Depreciation is used to write off the cost of an asset over its useful lifetime.
- You can set up depreciation types using several pre-defined depreciation methods.
- Define the asset Useful Life. Before the end of an asset's useful life, the asset should be written off completely.
- The system registers fixed asset transactions.
- The accounts and the amounts in the depreciation process derive from the Asset Master Data definition.

- Here are some key points to take away:
- **Depreciation** is used to write off the cost of an asset over its useful lifetime.
- SAP Business One allows you to set up depreciation types using several pre-defined depreciation methods.
- We define the asset **Useful Life** - a period during which an asset is expected to be usable for the purpose for which it was acquired. Before the end of an asset's useful life, the asset should be written off completely.
- The system registers fixed asset transactions.
- The accounts and the amounts in the depreciation process derive from the Asset Master Data definition.

Summary – cont.



- Execute the Depreciation Run option to update the value with the actual depreciation.
- You execute the depreciation run for each Depreciation Area. If the type of depreciation area is posting to G/L, besides posting the depreciation for each asset, there is a financial posting.
- During the life cycle of a fixed asset, additional documents support the need for adjustments, if necessary. The documents are: Transfer, Manual Depreciation, and Asset revaluation.
- In fixed asset management, you must execute a fiscal year change when a fiscal year ends. SAP Business One transfers all the asset depreciations and balances from the current fiscal year to the new fiscal year.

- Execute the *Depreciation Run* option to update the value with the actual depreciation.
- You execute the depreciation run for each *Depreciation Area*. If the type of depreciation area is posting to G/L, besides posting the depreciation for each asset, there is a financial posting.
- During the life cycle of a fixed asset, additional documents support the need for adjustments, if necessary. The documents are: *Transfer*, *Manual Depreciation*, and *Asset revaluation*.
- In fixed asset management, you must execute a fiscal year change when a fiscal year ends. With the change, SAP Business One transfers all the asset depreciations and balances from the current fiscal year to the new fiscal year.

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